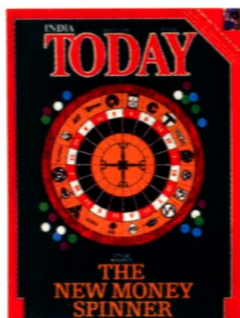


I BOOM TO BUST

India and its investors took stock of the ups and downs in the Sensex



1992-2008



Going berserk and going bust are not new in the Indian stock market. But this time around, it doesn't have so much to do with the boom bust as with change," noted INDIA TODAY in March 1992. The 1990s were a time of reckoning for the Indian economy. "Manmohan Singh wants the bulls to continue dancing. His economic reform package draws new investors into the market," said the article. But as with life, the stock market symbolises uncertainty and breeds optimism. In February 2008, we did another story, but this time it was far from cheery. "On January 22, the market crashed 2,200 points within minutes of opening. As Chidambaram advocated calm and reiterated his confidence in the economy, optimism seemed to evaporate as dire pessimism settled in." The crash that shook the market showed that the key to survival is to understand volatility, temper investment expectations and believe in the potential of the India story. "In the 1990s, such a crash would have broken the economy's back forever. Today, we are resilient enough to bear any brunt," noted the article published in February 2008. "The Indian story suddenly seemed like mythology." With a happy ending?

“The market had to be freed from too much policing and a daddy-knows-best attitude.”

MANMOHAN SINGH
FINANCE MINISTER, 1992

by Gunjeet K. Sra and Priyanka Sood

10 political disgraces

National events that forced us to hang our heads in shame

- 1 The Emergency, June 1975-March 1977** It effectively bestowed on Indira Gandhi the power to rule by decree, suspending elections as well as civil liberties, such as the right to free press.
- 2 Operation Bluestar, June 1984** It was a political disaster and an unprecedented act in Indian history. Its aftermath and the increased tensions led to assaults on the Sikh community in India.
- 3 The Bofors Scandal, 1987-1996** One of the biggest political scams in the country till date, involving Rs 64 crore. It was responsible for Rajiv Gandhi's defeat in the November 1989 general elections.
- 4 Demolition of Babri Masjid, December 1992** The date has remained etched as a blot in Indian history. The mosque was destroyed by 15,000 strong Hindu extremists as BJP leaders watched.
- 5 The JMM Bribery Case, July 1993** The democratic values of the country were put to shame when the then PM P.V. Narasimha Rao was accused of bribing members of Jharkhand Mukti Morcha to vote in his favour in the confidence motion.
- 6 Fodder Scam, January 1996** The scam involved millions of dollars in alleged fraudulent reimbursements from the treasury of Bihar for fodder, medicines and husbandry supplies for non-existent livestock. It forced Lalu Prasad Yadav, the then CM of the state, to resign.
- 7 The IC-814 Hijacking, December 1999** IC-814 was hijacked by terrorists and taken to Kandahar. The government was forced to release dreaded terrorists for the passengers.
- 8 The Arms Bribery Scandal, March 2001** India's coalition government began to fall apart when video tapes of highly-placed officials taking bribes in arms deals were released in 2001, forcing the then BJP president Bangaru Laxman to resign.
- 9 Gujarat Riots, February-March 2002** The riots were horrific blotches of communal hatred in the country's secular history. Despite the killings of 254 Hindus and 790 Muslims, the state government chose to sit in a cushy corner, doing nothing to stop the wave of hatred.
- 10 The Vote of No Confidence, July 2008** Parliament was adjourned after BJP members waved around wads of money, claiming they were offered cash in return for their support.

by Gunjeet K. Sra